

J MERRILL PUBLISHING, INC.
PUBLISHING AGREEMENT

jmerrill.pub | A J Merrill One Company

PUBLISHER	AUTHOR
J Merrill Publishing, Inc. 3971 Hoover Rd., Suite 297 Grove City, OH 43123-2839	Validation Author [Address] [City, State ZIP]

This Publishing Agreement ("Agreement") is made as of **2026-08-05**, by and between J Merrill Publishing, Inc. ("Publisher") and the Author identified above. This Agreement concerns the work tentatively titled **Internal Validation Title** ("Work").

1. GENERAL PROVISIONS

- 1.1 Governing Law.** This Agreement is governed by the laws of the State of Ohio. Jurisdiction and venue for any dispute shall be in Franklin County, Ohio, subject to the dispute resolution process in Section 13.
- 1.2 Independent Relationship.** The parties are independent contractors. This Agreement does not create an employment, partnership, agency, joint venture, or fiduciary relationship between the parties.
- 1.3 Entire Agreement.** This Agreement, together with all signed addenda, constitutes the entire understanding between the parties with respect to the Work and supersedes all prior negotiations, representations, or agreements.
- 1.4 Amendment.** This Agreement may be amended only by a written instrument signed by both parties.

2. TERM & RENEWAL

- 2.1 Initial Term.** This Agreement remains in effect for five (5) years from the Effective Date.
- 2.2 Renewal.** Following the initial five (5) year term, this Agreement may be renewed for successive terms only upon the mutual written agreement of both parties.
- 2.3 Inactivity Reversion.** If no copies of the Work are sold in any format during any twelve (12) consecutive months, rights shall revert to the Author unless Publisher demonstrates an active marketing plan within thirty (30) days of Author's written request. A qualifying active marketing plan requires at least two of the following: active paid advertising, confirmed retailer listings, scheduled promotional activity, or documented outreach to wholesale accounts. Publisher shall provide written confirmation of the active plan to Author within the thirty (30) day cure window.
- 2.4 Author Exit.** Author may request early termination by reimbursing Publisher for all documented and receipted production, distribution, and marketing expenses incurred to the date of termination, subject to a minimum buyout fee of \$500. Publisher shall provide an itemized accounting within fourteen (14) days of Author's written termination request. At Publisher's sole discretion, the minimum buyout fee may be waived, in whole or in part, where Author has fully performed all obligations under this Agreement and termination is requested in good faith; reimbursement of documented expenses remains due in all cases.

3. GRANT OF RIGHTS

- 3.1 Exclusive License.** Author grants Publisher an exclusive, worldwide license to publish, reproduce, distribute, market, and sell the Work in all formats, including print, digital, and audio editions, for the term of this Agreement. Author retains all rights not expressly granted herein.
- 3.2 Future Formats.** Publisher's right to publish the Work in formats not in existence as of the Effective Date is included in this grant. Publisher shall notify Author in writing before releasing the Work in a materially new format category. Author shall have thirty (30) days to object in writing. If no written objection is received within thirty (30) days, Publisher may proceed.

3.3 Subsidiary Rights. Author retains all subsidiary rights in the Work, including film, television, translation, dramatic adaptation, and serialization rights. If Author receives an offer for any subsidiary rights during the term of this Agreement, Author shall notify Publisher in writing. Publisher shall have thirty (30) days to match or participate in the proposed arrangement. If Publisher does not exercise this right within thirty (30) days, Author may proceed with the third party. Publisher's participation in any subsidiary rights arrangement, if elected, shall be documented in a separate written addendum.

3.4 Reversion on Termination. Upon expiration or termination of this Agreement, all rights granted herein revert to Author, subject to outstanding third-party licenses, existing distribution commitments, unrecouped production costs under Section 8.4, and any platform-specific terms then in effect.

4. MANUSCRIPT DELIVERY

4.1 Submission. Author shall deliver the complete, final manuscript in Publisher's required digital format by the deadline agreed in the Publishing Package Addendum or in writing between the parties.

4.2 Revisions. Publisher may request reasonable revisions to the manuscript. If Author fails to deliver an acceptable revised manuscript within thirty (30) days of Publisher's written request, Publisher may terminate this Agreement. Upon termination under this section, Author shall reimburse Publisher for documented production costs incurred prior to termination.

4.3 AI Content Disclosure. Author must disclose at manuscript submission any content that was generated or substantially drafted using artificial intelligence tools. Author must identify which portions are AI-assisted and provide a good-faith estimate of the percentage of the Work that is AI-generated or AI-assisted. Failure to disclose AI content constitutes a material breach of this Agreement.

5. PRODUCTION & PUBLICATION

5.1 Production Control. Publisher retains editorial and production discretion over editing, design, format, pricing, and distribution methods, exercised in good faith and consistent with the services specified in the Publishing Package Addendum.

5.2 Proof Review. Publisher shall provide Author with a production proof prior to publication. Author must return corrections within fourteen (14) calendar days of receipt. If Author does not respond within fourteen (14) days, Publisher may proceed to publication in its reasonable discretion.

5.3 Marketing. Publisher may promote the Work through its standard publishing and distribution channels. Additional or specialized marketing campaigns may be offered as paid services and documented in a separate addendum.

5.4 Production Commencement. Production services shall commence upon receipt of Author's first payment, whether that payment constitutes payment in full or the first installment of an agreed payment plan. Publisher shall not be obligated to begin production before first payment is received. A release date shall not be locked or confirmed until Author's full package payment has been received in cleared funds.

6. AUTHOR COPIES

6.1 Complimentary Copies. Publisher shall provide Author with complimentary copies of the Work as specified in the Publishing Package Addendum. Complimentary copies are excluded from royalties and Net Revenues.

6.2 Additional Copies. Author may purchase additional copies at the following rates, calculated on Publisher's actual print cost per unit:

Quantity	Rate
1–24 copies	Print cost + \$1.50 per unit
25–99 copies	Print cost + \$1.00 per unit
100+ copies	Print cost + \$0.50 per unit

6.3 Exclusions. Purchased author copies are excluded from royalties and Net Revenues. Applicable shipping and taxes are the Author's responsibility.

7. ROYALTIES & ACCOUNTING

7.1 Royalty Rate. Publisher credits Author with seventy percent (70%) of Net Revenues received by Publisher from sales of the Work in all formats.

7.2 Net Revenues. Net Revenues means actual funds received by Publisher from sales of the Work, after deduction of: (a) print cost per unit sold; (b) distributor, wholesaler, and retail platform fees, discounts, and commissions; (c) shipping, fulfillment, and transaction fees; (d) returns, credits, and chargebacks; (e) taxes withheld at source by any platform, distributor, wholesaler, or retailer; (f) currency conversion losses on international sales; and (g) any production cost recoupment authorized under Section 8.4. Publisher shall maintain records sufficient to substantiate all deductions.

7.3 Royalty Statements. Publisher shall provide Author with monthly sales reports within fifteen (15) business days after the end of each calendar month, reflecting reported sales activity for that month across applicable formats and sales channels. Royalty statements are reporting records and do not accelerate the payment timing set forth in Section 7.4.

7.4 Royalty Payments. Publisher shall remit Author's royalty payment approximately ninety (90) days after the close of the applicable sales month, subject to Publisher's receipt of cleared funds from applicable distributors, wholesalers, retailers, or platforms. Publisher is not required to advance royalties before receipt of cleared proceeds.

7.5 Minimum Payment Threshold. Royalty payments of less than \$25.00 in a given month shall be held and carried forward to the following month until the cumulative balance equals or exceeds \$25.00, at which time payment shall be made.

7.6 Audit Rights. Author may audit Publisher's royalty records once per calendar year upon thirty (30) days written notice, at Author's expense, subject to a confidentiality obligation. If an audit reveals an underpayment exceeding five percent (5%) of the amount due for the audited period, Publisher shall reimburse Author for reasonable audit costs.

8. COMPENSATION & FEES

8.1 Package Fee. Author shall pay the package fee specified in the Publishing Package Addendum. Production commences upon receipt of first payment per Section 5.4.

8.2 Annual Distribution Fee. Author pays an annual distribution and maintenance fee of \$30 per title ("Distribution Fee"), due on each anniversary of the publication date. Publisher may adjust the Distribution Fee by no more than five percent (5%) annually upon sixty (60) days written notice to Author prior to the anniversary date. If Author objects in writing within thirty (30) days of notice, the parties shall negotiate in good faith. If the parties cannot agree, Author may terminate this Agreement pursuant to Section 2.4 without the standard buyout fee. If the Distribution Fee remains unpaid after the applicable due date and any required notice period, Publisher may discontinue active distribution and disable purchasing availability for the affected title. Retailer or platform listings may remain visible while purchasing is disabled. Active distribution and purchasing availability shall be restored automatically upon Publisher's receipt of cleared payment; no separate Publisher action is required to restore access.

8.3 Additional Services. Editing, marketing, audiobook production, design, and other add-on services may be purchased separately, priced per the then-current J Merrill Publishing catalog, and documented in written addenda to this Agreement.

8.4 Production Cost Recoupment. Where Publisher has paid production costs on Author's behalf that are expressly documented as recoupable in the Publishing Package Addendum or a signed addendum, Publisher may recoup those costs from Author's share of Net Revenues before remitting royalty payments. Publisher shall provide Author with a written recoupment schedule prior to initiating recoupment.

9. REPRESENTATIONS, WARRANTIES & INDEMNIFICATION

9.1 Author Warranties. Author represents and warrants that: (a) Author is the sole author and owner of the Work and has full authority to enter into this Agreement; (b) the Work is original and does not infringe the copyright, trademark, privacy, or other rights of any third party; (c) the Work does not contain defamatory, unlawful, or obscene content; (d) Author has not granted any conflicting rights to the Work to any third party; and (e) Author's AI content disclosures under Section 4.3 are accurate and complete.

9.2 Publisher Warranties. Publisher represents and warrants that: (a) Publisher has the authority to enter into this Agreement; (b) Publisher will exercise its rights under this Agreement in good faith and in accordance with professional publishing standards; and (c) Publisher will not use Author's name, likeness, or biographical information for purposes beyond those authorized by this Agreement.

9.3 Author Indemnification. Author shall indemnify, defend, and hold harmless Publisher and its officers, employees, and agents from any claims, damages, losses, costs, and attorneys' fees arising from: (a) Author's breach of the warranties in Section 9.1; or (b) any claim that the content of the Work infringes or violates any third-party right.

9.4 Publisher Indemnification. Publisher shall indemnify, defend, and hold harmless Author from any claims, damages, losses, costs, and attorneys' fees arising from Publisher's own acts or omissions in the production, distribution, or marketing of the Work, including errors in cover design, metadata, or platform submissions made by Publisher.

10. AI & EMERGING TECHNOLOGIES

10.1 AI Content Cap by Imprint. The maximum percentage of AI-generated or AI-assisted content permitted in the Work is determined by the imprint under which the Work is published, as follows:

Imprint	Cap	Notes
JM Signature	0%	Hard zero. Publisher written waiver required on a title-by-title basis at Publisher sole discretion.
J Merrill Publishing	5%	Flagship/faith imprint. Pastoral voice and personal testimony are core — AI content must be minimal and disclosed.
JM Verse	5%	Poetry. AI-generated verse is a reputational risk. Cap is firm.
JM Little	10%	Children's. AI-assisted readability support is low-risk. Illustration AI covered under design clause separately.
JM Works	15%	General trade. Research-heavy nonfiction, how-to, and reference may use AI-assisted drafting at higher rates with full disclosure.

10.2 AI Cap Enforcement. If Publisher determines after submission that the Work exceeds the applicable imprint AI cap, Publisher shall notify Author in writing. Author shall have thirty (30) days to revise and resubmit a compliant manuscript. If Author fails to cure within thirty (30) days, Publisher may terminate this Agreement without further obligation. If Author failed to disclose AI content under Section 4.3 and Publisher discovers the non-disclosure after production has commenced, Author shall reimburse Publisher for all documented production costs incurred prior to discovery.

10.3 AI in Production. Publisher's standard audiobook production method is AI narration. Author acknowledges that AI narration is the default production method for audiobook editions of the Work unless Author elects human narration or author self-narration in the Audiobook Production & Distribution Addendum. Publisher's use of AI tools in design, layout, metadata, and production workflows is permitted. The Work may not be used for AI model training without Author's prior written consent.

11. COMPETING WORKS

11.1 Narrow Competing Works Restriction. During the term of this Agreement, Author shall not publish or authorize publication of a work that is substantially the same as the Work — including a direct sequel, a revised or expanded edition of the Work, or a repackaged version of the same content — through any publisher other than Publisher, without Publisher's prior written consent. This restriction does not limit Author's right to write and publish other original works on different subjects or in different formats.

12. TERMINATION & REVERSION

12.1 Termination by Publisher. Publisher may terminate this Agreement upon thirty (30) days written notice to Author for: (a) Author's material breach, including failure to deliver manuscript or approvals within agreed timelines; (b) Author's failure to cure an AI content violation under Section 10.2; or (c) Author's failure to make required payments under Section 8.

12.2 Termination by Author. Author may terminate this Agreement pursuant to Section 2.4 or Section 8.2, subject to the applicable buyout and reimbursement obligations.

12.3 Rights on Termination. Upon termination or expiration, all rights granted under Section 3 revert to Author, subject to: (a) outstanding third-party licenses and existing distribution commitments; (b) platform-specific terms then in effect; and (c) unrecovered production costs under Section 8.4.

12.4 Final Accounting. Publisher shall provide Author with a final royalty accounting within sixty (60) days of the effective termination or expiration date, identifying any known outstanding sales activity and any platform, distributor, wholesaler, or retailer proceeds that have not yet cleared. Publisher shall remit any final outstanding royalties after receipt of cleared final proceeds, consistent with the payment timing in Section 7.4. Publisher is not required to advance final royalties before receipt of cleared proceeds.

12.5 Death or Incapacity of Author. If Author dies or becomes legally incapacitated during the term of this Agreement, this Agreement shall continue in full force and effect. Author's rights and obligations under this Agreement, including the right to receive royalties, shall pass to Author's estate or legal representative. Author's estate or legal representative shall have the same termination rights as Author under this Agreement.

13. DISPUTE RESOLUTION

13.1 Mandatory Mediation. Before initiating any arbitration or legal proceeding, the parties shall first attempt to resolve the dispute through good-faith mediation. Either party may initiate mediation by providing written notice to the other party. Mediation costs shall be split equally between the parties. The parties shall have thirty (30) days from initiation of mediation to reach resolution.

13.2 Binding Arbitration. If mediation fails to resolve the dispute within thirty (30) days, the dispute shall be resolved by binding arbitration seated in Franklin County, Ohio, administered under the American Arbitration Association Commercial Arbitration Rules then in effect. The arbitrator's decision shall be final and binding. Judgment on the arbitration award may be entered in any court of competent jurisdiction.

13.3 Exceptions. Sections 13.1 and 13.2 do not apply to: (a) claims for emergency injunctive or equitable relief to prevent irreparable harm; or (b) claims properly within the jurisdiction of a small claims court.

13.4 Governing Law. This Agreement is governed by the laws of the State of Ohio without regard to conflict of law principles.

14. MISCELLANEOUS

14.1 Assignment. Publisher may assign this Agreement to affiliates, successors, or acquirers of Publisher's publishing business without Author's consent, provided the assignee assumes all obligations under this Agreement. Author may not assign this Agreement or any rights hereunder without Publisher's prior written consent.

14.2 Force Majeure. Neither party shall be in breach of this Agreement for delays or failures caused by events beyond that party's reasonable control, including natural disasters, governmental action, platform outages, or supply chain disruptions. Publisher shall maintain print-on-demand availability for the Work during any force majeure period where technically possible.

14.3 Bankruptcy. If Publisher enters bankruptcy, insolvency proceedings, or general assignment for the benefit of creditors, all rights granted under this Agreement shall automatically revert to Author upon Author's written notice to Publisher or Publisher's trustee.

14.4 Severability. If any provision of this Agreement is found unenforceable, the remaining provisions shall continue in full force and effect.

14.5 Waiver. Failure by either party to enforce any provision of this Agreement shall not constitute a waiver of that party's right to enforce the same or any other provision in the future.

14.6 Notices. All written notices under this Agreement shall be delivered by email with confirmation of receipt, or by certified mail, to the addresses of record for each party.

IN WITNESS WHEREOF, the parties have executed this Publishing Agreement as of the Effective Date.

PUBLISHER	AUTHOR
J Merrill Publishing, Inc. By: _____ Jackie Smith, Jr., President & CEO Date: _____	Validation Author Signature: _____ Print Name: _____ Date: _____